Nexus AR

AI-Powered Credit Control Automation

Marketing Strategy & Investment Analysis

Comprehensive investor-grade marketing strategy targeting the £2.8B UK SME late payments market with validated financial projections and growth roadmap

Executive Summary

Market Opportunity

- 61% of UK SMEs cited money from unpaid invoices
- Average £1.4K per business in outstanding debt
- Regulatory tailwinds: UK Late Payment Act reforms 2024-2025
- 800K+ addressable SMEs using cloud accounting

Financial Projections

- Break-even: Month 5-6
- Year 1 ARR: £50K-£100K
- 3-Year ARR: £2.5M-£5M
- Target valuation: £40M-£100M

Customer & Product Summary

Nexus AR is an AI-powered, multichannel credit control automation platform that seamlessly integrates with Xero, QuickBooks, and Sage accounting software. The solution automatically follows up with debtors via SMS, email, and outbound voice AI, while providing real-time dashboards for debtor status and cash flow analytics.

Our ideal customers are UK SMEs (2-200 employees) who require credit control functionality but are either unwilling or unable to chase payments manually. The platform promises to get 60% more invoices paid within 2 weeks faster, targeting businesses that value relationship preservation while improving cash flow efficiency.

Market Analysis & Opportunity

800K+
Addressable SMEs
UK businesses with credit control needs

£21.4K
Average Debt
Per SME in unpaid invoices

52%
Suffer Late Payments
Quarterly payment delays

TAM/SAM/SOM Analysis

Market Segment	Size	Description	Value (£M)
TAM (Total Addressable)	2.1M	All UK VAT/PAYE registered SMEs	4,815
SAM (Serviceable Available)	800K	Cloud accounting users with credit control needs	1,428
SOM (Serviceable Obtainable)	48.1K	Realistic 3-year market penetration (0.5-1%)	7-14

Key Market Drivers

- **Regulatory Pressure:** New UK Late Payment Act caps terms at 45-60 days with penalties
- **Cash Flow Crisis:** 61% report more late payments than 12 months ago
- **Cloud Adoption:** 1.7M Xero UK users + growing QuickBooks/Sage base
- **AI Acceptance:** Growing comfort with automated business processes

Market Penetration Factors

- **Easy Integration:** One-click setup with existing accounting systems
- **Relationship Safe:** Polite, human-like AI communication
- **Quick ROI:** Payback in 30-60 days through faster collections
- **Marketplace Access:** Xero/QuickBooks/Sage app stores

Customer Profile & Competitive Analysis

Ideal Customer Profile

Demographics
Business Size: 2-200 employees, £500K-£10M turnover
Industries: Professional services, manufacturing, wholesale, agencies
Decision Makers: Owner-managers, Finance Directors, Bookkeepers (age 28-55)
Location: UK-wide, urban and suburban markets
Tech Stack: Xero, QuickBooks, or Sage users

Psychographics
Pain Points: Hates awkward chasing calls, time-poor, relationship-focused
Triggers: Cash flow squeeze, payroll pressure, key client chronically late
Limiting Beliefs: "Chasing will upset customers", "Automation sounds robotic"
Desires: Time back, quicker payments, avoid uncomfortable phone calls

SWOT Analysis

Strengths
- AI voice + SMS differentiation
- Xero marketplace access
- Regulatory timing advantage
- Relationship-preserving approach

Weaknesses
- No brand recognition
- Limited resources vs incumbents
- Need to educate on AI voice
- Scaling customer success

Opportunities
- UK late payment reforms
- Growing cloud accounting base
- SME digital transformation
- Partner channel expansion

Threats
- Chasers/Sage incumbency
- Native accounting features
- Economic downturn impact
- Big tech market entry

Competitive Landscape

Competitor	Strengths	Weaknesses	Est. Price
Chaser	Strong Xero integration, AR/ops focus, proven ROI	Email-focused, limited SMS/voice, higher pricing	£39-199/mo
Gatherup	Credit risk data, finance options, SME capability	Complex pricing, enterprise focus, no AI voice	£99-299/mo
Kolleno	Modern UI, good analytics, multi-channel	Limited UK presence, no voice AI, newer brand	£79-350/mo
Nexus AR	AI voice, SMS+email, relationship-safe, competitive price	New brand, building user base	£110/mo

Multi-Channel Marketing Strategy

3-Phase Launch Strategy (12 Months)

Phase 1: Xero Focus (M1-4)
- Xero App Store listing & optimization
- Partner with bookkeeping firms
- Xero-specific content marketing
- Target: 200-400 trials, 50-80 paid users

Phase 2: QuickBooks (M5-8)
- QuickBooks App Store presence
- Professional partner program
- Comparative content vs native tools
- Target: 300-600 trials, 75-120 paid users

Phase 3: Sage (M9-12)
- Sage Marketplace integration
- Accountant community outreach
- Enterprise feature development
- Target: 400-800 trials, 100-160 paid users

Marketing Channel Mix & Budget Allocation

Digital Channels (80% budget)

Google Search: High-intent keywords	35%
LinkedIn Ads: B2B decision makers	25%
Meta (Facebook): SME owners	20%
Content/SEO: Organic traffic	Ongoing
Email Marketing: Nurture sequences	Internal

Partner Channels (15% budget)

App Marketplaces: Xero/QB/Sage stores	10%
Accountant Partners: Commission program	5%

Events/PR (5% budget)

Industry Events: Accounting conferences	3%
PR/Thought Leadership: Media coverage	2%

Lead Magnets & Conversion Assets

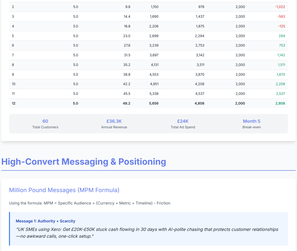
- **ROI Calculator:** "How much cash is trapped in AR?"
- **Demo Video:** "From invoice to cash in 21 days"
- **Playbook:** "Polite Chasing Templates 12Q4X"
- **Report:** "UK Late Payment Act Compliance Guide"
- **Webinar:** Monthly accountant training sessions

Conversion Funnel Strategy

Traffic → Landing Page	3-5%
Lead → Trial Signup	25-35%
Trial → Paid Conversion	15-25%
Overall: Traffic → Paid	1.1-3.5%

Financial Projections & Unit Economics

Revenue Growth Projections (3 Scenarios)

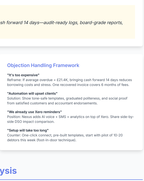


Conservative	Moderate	Aggressive
£1K/month	**£2K/month**	**£3K/month**
Conservative Scenario	Moderate Scenario	Aggressive Scenario
£2.6K MRR	**£5.7K MRR**	**£8.5K MRR**
by Month 12	by Month 12	by Month 12

Unit Economics

Monthly Price (ARPU)	£107.32
Gross Margin	85%
Customer Acquisition Cost	£400-500
Monthly Churn Rate	4%
Average Customer Lifetime	25 months
Customer Lifetime Value	£2,486
LTV:CAC Ratio	**5.0:1**

Payback Analysis



Payback Period: 3.5-4.5 months
Based on £400-500 CAC and £86.73 monthly GP

12-Month Financial Forecast (Moderate Scenario: £2K/month)

Month	New Customers	Active Customers	MRR (£)	Gross Profit (£)	Ad Spend (£)	Net Profit (£)
1	5.0	5.0	537	459	2,000	-1,541
2	5.0	9.8	1,150	978	2,000	-1,022
3	5.0	14.4	1,860	1,437	2,000	-563
4	5.0	18.8	2,206	1,875	2,000	-125
5	5.0	23.0	2,699	2,294	2,000	294
6	5.0	27.0	3,239	2,753	2,000	753
7	5.0	31.5	3,887	3,242	2,000	1,242
8	5.0	35.2	4,531	3,511	2,000	1,511
9	5.0	38.8	4,553	3,870	2,000	1,870
10	5.0	42.2	4,861	4,208	2,000	2,208
11	5.0	45.5	5,338	4,537	2,000	2,537
12	**5.0**	**48.2**	**5,656**	**4,808**	**2,000**	**2,808**

60	£38.3K	£24K	Month 5
Total Customers	Annual Revenue	Total Ad Spend	Break-even

High-Convert Messaging & Positioning

Million Pound Messages (MPM Formula)

Using the formula: MPM = Specific Audience + [Currency + Metric + Timeline] - Friction

Message 1: Authority + Scarcity
"UK SMEs using Xero: Get £20K-£50K stuck cash flowing in 30 days with AI-polite chasing that protects customer relationships —no awkward calls, one-click setup."

Message 2: Loss Aversion + Social Proof
"Finance Managers (5-50 staff): Stop losing £21K to late payments—reduce DSO by 25% in one billing cycle while 4,000+ businesses automate collections hands-off."

Message 3: Time Scarcity + Effort Avoidance
"Owner-Managers: Turn 16 hours/week chasing into one-click sequences that get results in 2-3 weeks—no scripts, no stress, no relationship damage."

Message 4: Partner Channel Focus
"Accountants/Bookkeepers: Add £2K+ monthly recurring revenue by offering clients AI credit control that lowers DSO 30%—white-labeled, deploy in minutes."

Message 5: Compliance + Authority
"Meet UK's 2025 payment practice requirements while bringing cash forward 14 days—audit-ready logs, board-grade reports, relationship-safe automation."

Problem-Solution Matrix

Top of Funnel Problem
Pain: Cash flow unpredictability from late payments
Solution: Real-time AR analytics and payment forecasting
Intent Level: Low/ Medium | **Next Step:** Download DSO calculator

Middle of Funnel Problem
Pain: Time-consuming manual chasing process
Solution: AI-powered multi-channel follow-up in 2 voice
Intent Level: Medium-High | **Next Step:** Book demo or start trial

Bottom of Funnel Problem
Pain: Fear of damaging customer relationships
Solution: Relationship-preserving templates and tone control
Intent Level: High | **Next Step:** Activate paid account

Objection Handling Framework

"It's too expensive"
Response: Calculate cost-per-chase = £21.4K, bringing cash forward 14 days reduces borrowing costs and stress. One recovered invoice covers 6 months of fees.

"Automation will upset clients"
Solution: Show tone-safe templates, graduated preference, and social proof from satisfied customers and accountant endorsements.

"We already use Xero reminders"
Position: Nexus adds 6 voice + SMS + analytics on top of Xero. Share side-by-side DSO impact comparison.

"Setup will take too long"
Response: Pre-built templates, one-click sync, quick templates, start with pilot of 10-20 debtors this week. Show on-demand walkthrough.

Investment Opportunity & Risk Analysis

Investment Thesis

- **Large Market:** £2.8B+ trapped in UK SME late payments annually
- **Regulatory Tailwinds:** UK Late Payment Act creating compliance urgency
- **Technology Moat:** AI voice + SMS differentiation vs email-only competitors
- **Distribution Advantage:** Xero/QuickBooks/Sage marketplace access to 1M+ SMEs
- **Strong Unit Economics:** 5.1T:V CAC ratio with 3.5-4.5 month payback

Growth Projections

Year 1 ARR	£50K - £100K
Year 2 ARR	£400K - £800K
Year 3 ARR	£2.5M - £5M
Market Share	0.5% - 1.2%
Valuation (3yr)	£40M - £100M

Risk Assessment & Mitigation

Key Risks
- **Market Competition:** Chaser/Gatherup have strong market presence and resources
- **CAC Inflation:** Potential for customer acquisition costs to rise in competitive market
- **Market Saturation:** Limited pool of qualified prospects in niche market
- **Technology Risk:** Big tech players could enter with native solutions

Mitigation Strategies
- **AI Voice Differentiation:** Advanced automation features competitors can't easily replicate
- **Partner Channels:** Accountant/marketplace distribution reduces CAC dependency
- **International Expansion:** EU/US markets provide growth beyond UK saturation
- **Product Evolution:** Adjacent AR/Finance features increase switching costs

Investment Recommendation

Why Invest Now
- Perfect timing with UK Late Payment Act enforcement
- Proven market pain (61% SMEs affected, £21.4K avg debt)
- Technology differentiation window before copycats
- Established distribution through accounting partnerships
- Strong unit economics justify aggressive growth spending

Expected Returns
- 10-15x return potential over 3-5 years
- Multiple exit opportunities (strategic/Financial)
- Recurring SaaS revenue model with high retention
- Clear path to profitability and positive cash flow
- Scalable to £10M+ ARR with current model

Strategic Summary & Next Steps

Core Recommendations

- **Phase 1 Focus:** Xero marketplace domination with 400+ trials in first 4 months
- **Partner Strategy:** Recruit 20+ bookkeeping firms for white-label distribution
- **AI Differentiation:** Lead with voice AI and relationship-preserving automation
- **Metrics Focus:** Track trial → paid % and Activated Sequence rate as key KPIs
- **Budget Scaling:** Start £2K/month, scale to £15K+ once CAC<£400 proven

Success Milestones

- Month 3: First 100 trials
- Month 6: Break-even achieved
- Month 9: QuickBooks integration
- Month 12: £100K ARR target
- Year 2: £2.5M+ ARR

Investment Opportunity Summary

Nexus AR represents a compelling investment in the intersection of AI automation and the £2.8B UK SME late payments market. With proven customer pain, regulatory tailwinds, and a differentiated technology approach, the company is positioned to capture significant market share while delivering strong returns to investors through a scalable SaaS model with attractive unit economics.

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